



BANK OF KIGALI INVESTOR PRESENTATION

November 2011



Disclaimer



This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, governmental policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to our group structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.



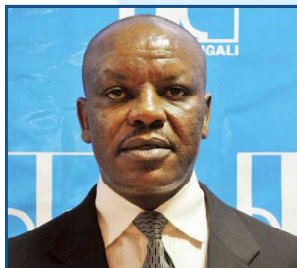
Presentation Team



LADO GURGENIDZE
Chairman of the Board
Email: lgurgenidze@bk.rw
Mobile: +995 599 477 272
 lado.gurgenidze.2008



JAMES GATERA
Managing Director
Email: jgatera@bk.rw
Tel: +250 252 593 121



LAWSON NAIBO
Chief Operating Officer
Email: lnaibo@bk.rw
Mobile: +250 78 830 2076



Table Of Contents



1. Country & Sector Overview
2. Corporate Governance
3. Bank Overview
4. Financial Overview
5. Strategic Outlook
6. Contact Information



COUNTRY AND SECTOR OVERVIEW



Rwanda - Country Profile



National Facts

Area	26,338 sq km
Population (2010)	10.7 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (RWF)
Credit Rating	B/Stable (Fitch Ratings)

Macro Economic Indicators

Nominal GDP (2010)	US\$5.6 billion
Nominal GDP Per Capita (2010)	US\$562
Real GDP Growth Rate 2011E	6.5%
Inflation Rate (Oct 2011)	7.76%
Private Sector Credit Growth	20.9%
External Debt to GDP (2010)	14.9%
Currency Depreciation (Year to September)	0.9%
FDI as % of GDP (2011E)	1.9%

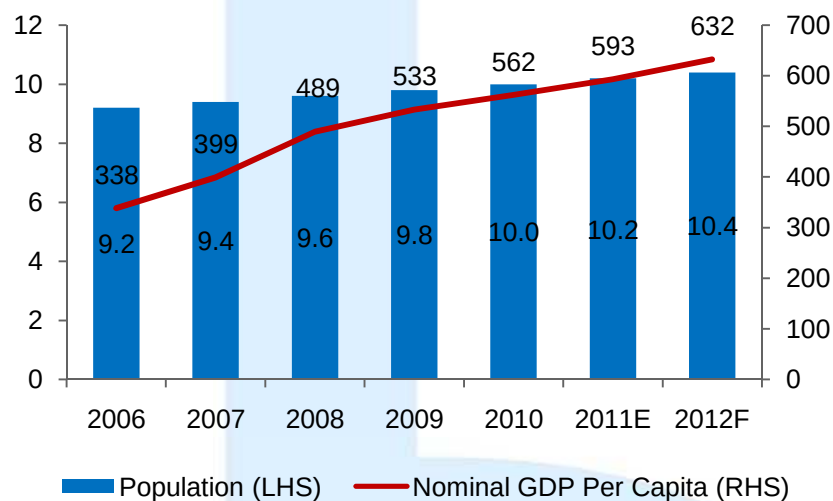
Business Environment

- Rwanda has been recognized by the World Bank as the second most active reformer globally 2005-2011
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index
- Today, entrepreneurs can register a new business in 24 hours as well as online

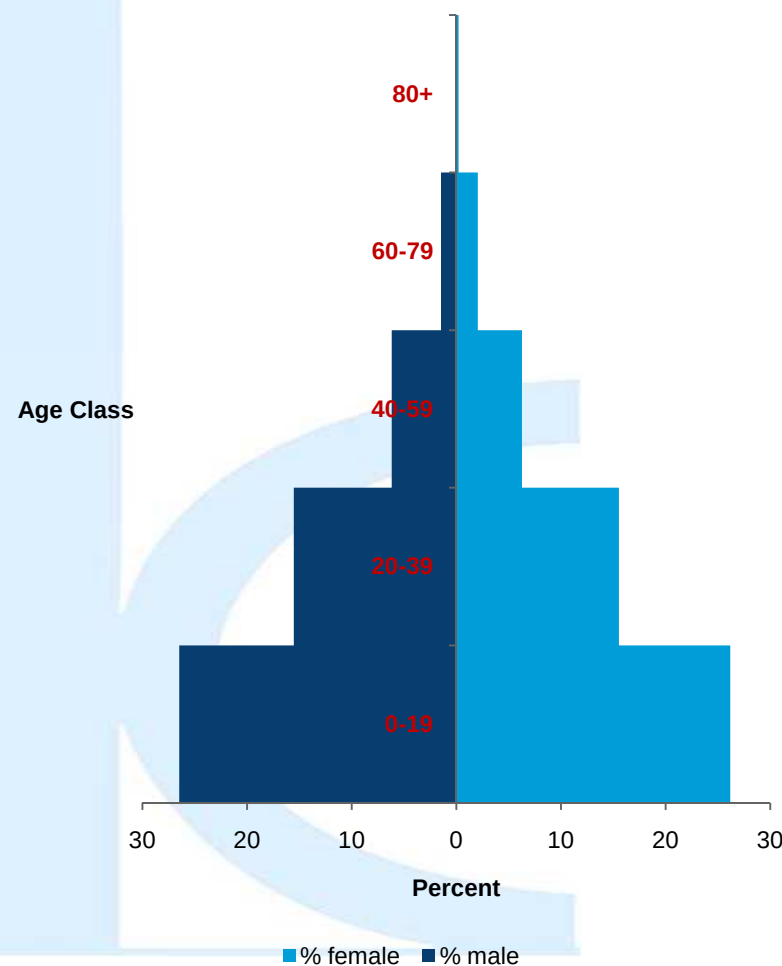


Source: IMF, CIA World Factbook, Ministry of Finance and Economic Planning, National Institute of Statistics Rwanda, National Bank of Rwanda

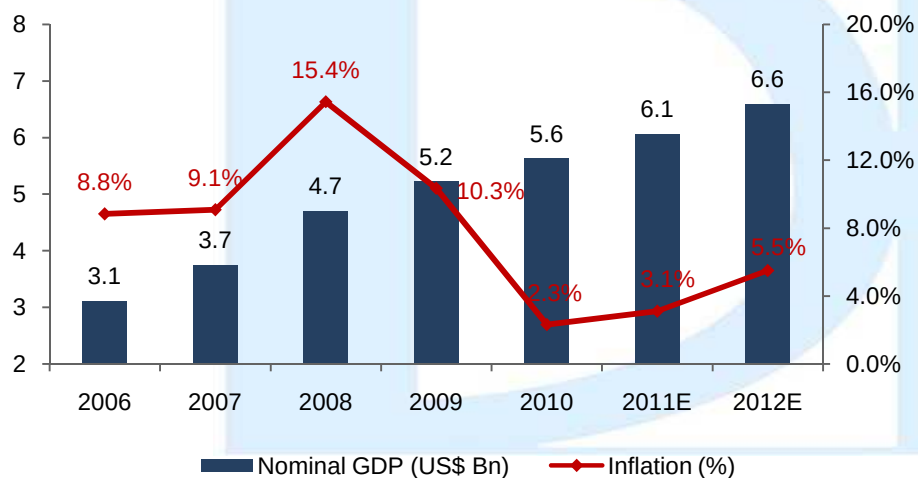
GDP per Capita continues to grow



Population Pyramid for Rwanda 2010



Healthy GDP growth with moderating inflation

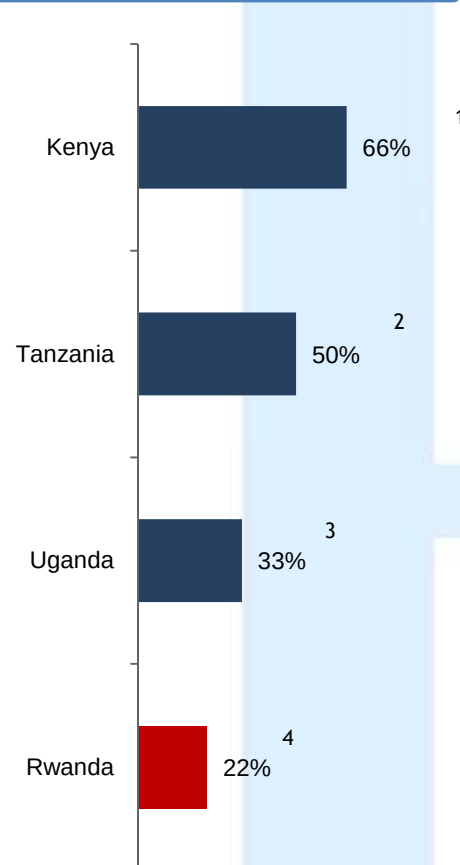




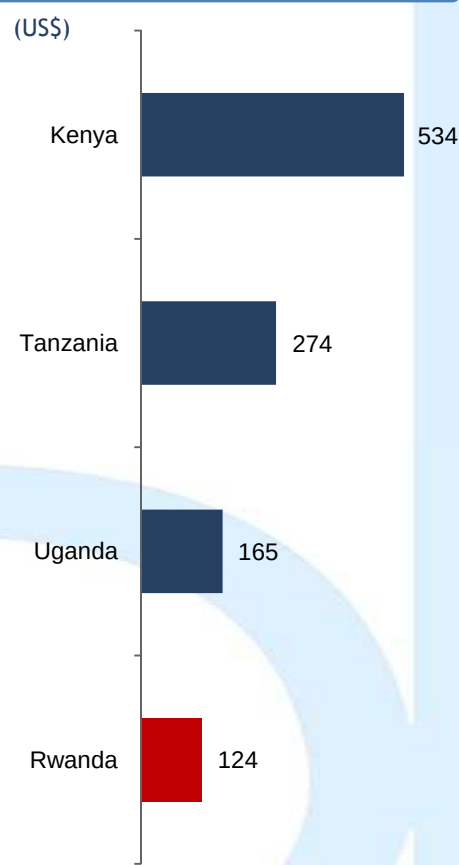
Significant Banking Sector Potential



2010 Banking Assets/GDP



2010 Banking Assets Per Capita⁵



Large Unbanked Population

- Economy is still cash based with bank accounts being used mostly for cash deposits and withdrawals
- Approximately 20% of the population is banked
- 90% of banked adults have a product with UBPR or credit unions

Source: Finscope Rwanda 2008

Prudential Regulations

CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Reserve Requirement	5% of total deposits
Lending in foreign currency	Restricted to exporters

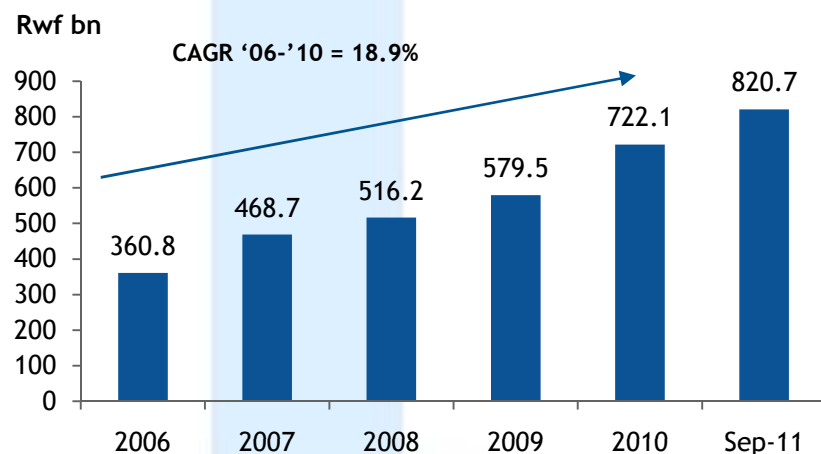
- (1) Source: Central Bank of Kenya and Economic Survey 2011
 (2) Source: IMF and Tanzania Banking Survey 2011 (Serengeti Advisers)
 (3) Source: IMF and Bank of Uganda Joint Annual Supervision & Financial Stability Report December 2010
 (4) Source: IMF and published financial statements
 (5) Source: population stats by IMF



Banking Sector Overview



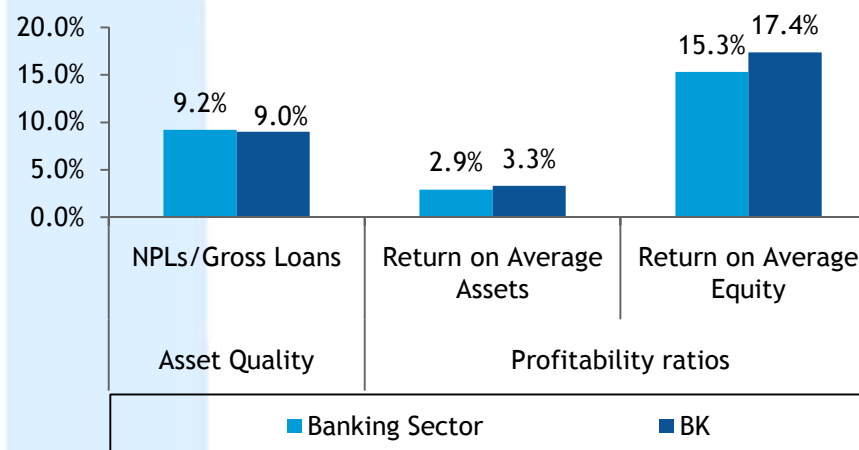
Rwanda Banking System Growth (Total Assets)



Regulatory Reforms in Access to Credit

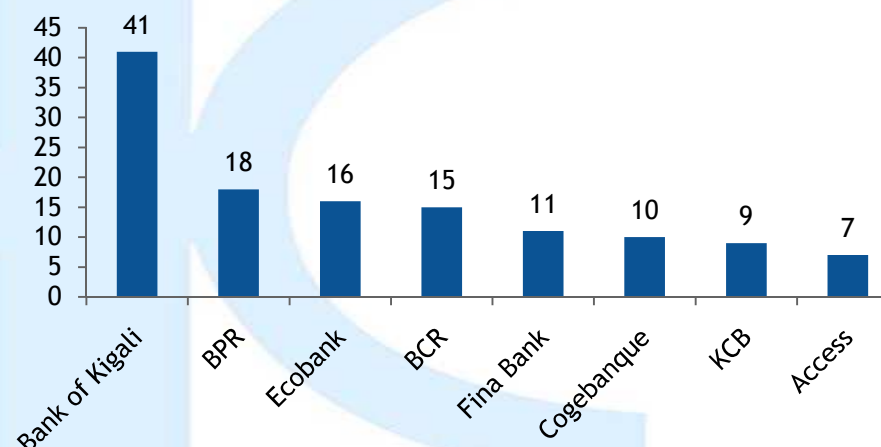
- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerized records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Performance Indicators



Source: BNR Supervision Department, August 2011 Monetary Policy, BK Reviewed September Results

Branch Coverage



* BPR has over 100 sub-branches



Bank of Kigali is the Market Leader

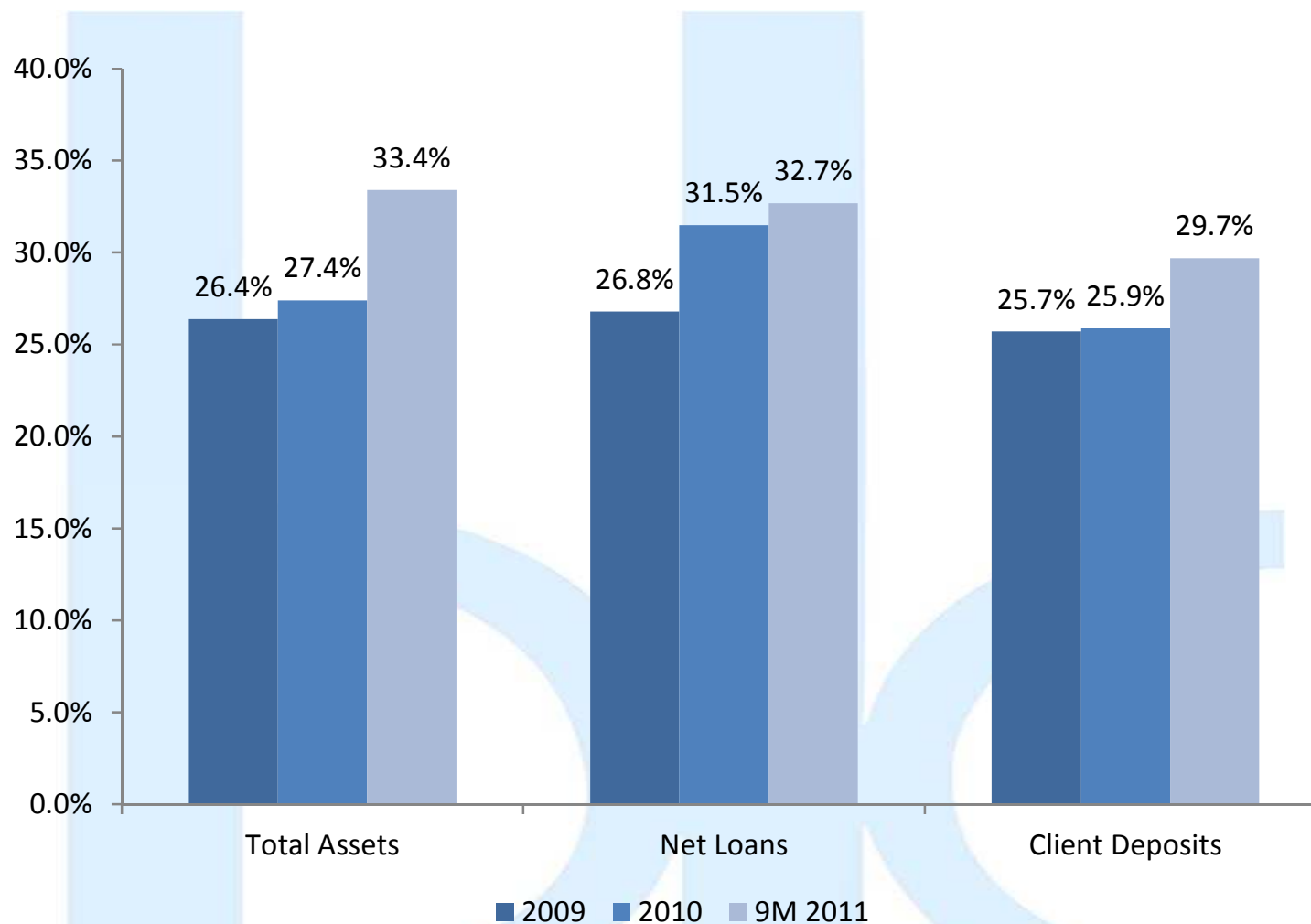


Rank	Total Assets		Loans		Deposits		Equity	
1	 BANK OF KIGALI	33.4%	 BANK OF KIGALI	32.7%	 BANK OF KIGALI	29.7%	 BANK OF KIGALI	42.6%
2	 UBPR	18.1%	 UBPR	23.8%	 UBPR	19.4%	 UBPR	15.6%
3	 BCR	10.7%	 ECOBANK	12.6%	 BCR	11.7%	 BCR	9.7%
4	 ECOBANK	10.6%	 BCR	9.5%	 ECOBANK	9.7%	 ECOBANK	7.7%
5	 COGEBANQUE	8.2%	 FINA BANK	7.6%	 COGEBANQUE	7.8%	 KCB	7.3%
6	 FINA BANK	6.7%	 KCB	7.5%	 FINA BANK	7.4%	 COGEBANQUE	7.1%
7	 KCB	6.5%	 ACCESS BANK	3.9%	 KCB	7.3%	 FINA BANK	5.1%
8	 ACCESS BANK	5.9%	 COGEBANQUE	2.4%	 ACCESS BANK	7.1%	 ACCESS BANK	4.9%

Preliminary estimates have been used for ECOBANK in calculating the banking sector figures whose Q3 2011 performance figures are subject to confirmation. Any resulting changes are unlikely to be material.



Bank of Kigali market share evolution



Preliminary estimates have been used for ECOBANK in calculating the banking sector figures whose Q3 2011 performance figures are subject to confirmation. Any resulting changes are unlikely to be material.



CORPORATE GOVERNANCE



Corporate Governance



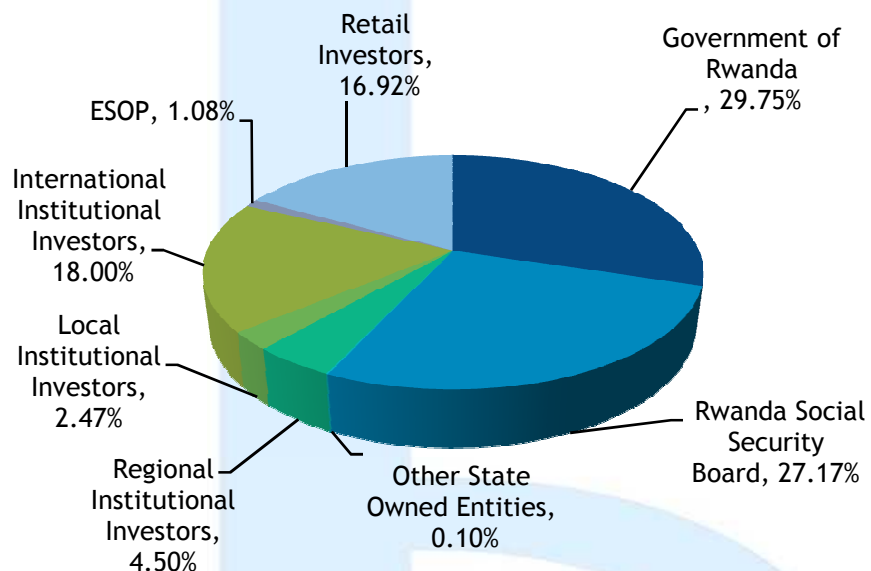
- The Board of Directors is composed of eight independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- The Board of Directors is approved by the Central Bank and meet on a quarterly basis or more frequently as the business demands
- The Board retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the corporate governance guidelines
- The Board sub-committees have clear TORs which underscore the scope and context of their performance as approved by the Board & corporate governance regulation
- The Board receives detailed financial information and regular presentations from the management on the Bank's business performance. This enables the Directors to make informed decisions on governance, strategic, financials and operational issues



Shareholding Structure



Shareholding Structure



Report date	24-Nov-11
Current price, RwF	130
Market Cap, US\$ mln	144
Free float	45%
Free float in US\$ mln	67
Average daily traded volume in US\$ mln	0.18
Common shares outstanding, mln shares	667.3
12-month high	200
12-month low	127
P/E 2010	9.74
P/BV 2010	1.51
Ticker Code	BOK

Rwf/USD Exchange Rate (e-o-p) of 601.716 as at 24 November 2011

***Capital gains on the RSE transactions are exempted from Capital Gains Tax**

Share Price Performance September 2011

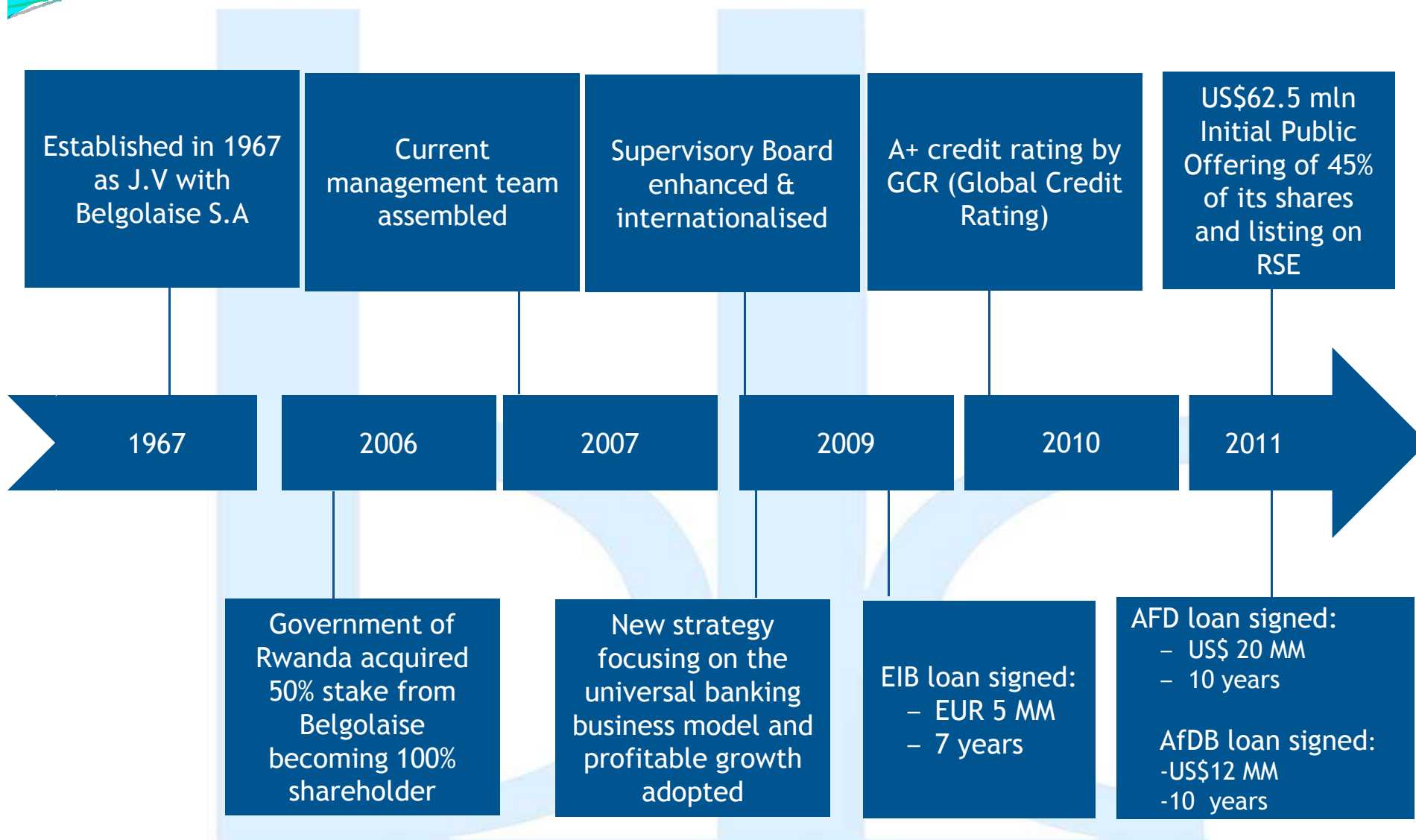




BANK OVERVIEW



Background and History





- The leading bank in Rwanda (33.4% market share by total assets as of September 30, 2011), offering a wide spectrum of commercial banking services to corporate, SME and retail customers
- As of 30 September 2011 the Bank had:
 - Over 13,000 corporate accounts
 - Over 126,000 retail accounts
 - 41 branches
 - 26 ATMs (46 by December 2011)
 - 552 employees
 - 15,246 debit cards in issue
- Western Union Agent for International Transfers
- One of two Banks in Rwanda that offer International VISA cards.
- On average, the break-even period for new branches is less than 24 months

US\$ MM	2007	2008	2009	2010	Sep 2011	CAGR 2007-2010
Total Assets	225.1	216.1	265.9	332.5	456.7	13.9%
Net Loans	89.4	129.0	135.0	170.6	209.0	24.0%
Client Deposits	187.2	167.9	191.7	228.2	288.5	6.8%
Shareholders' Equity	23.5	28.4	32.5	53.6	96.0	31.6%
Net Income	7.8	10.3	9.3	10.6	10.0	10.8%
MARKET SHARE						
Total Assets	29.0%	23.4%	26.3%	27.4%	33.4%	
Net Loans	25.3%	24.4%	26.8%	31.5%	32.7%	
Client Deposits	30.6%	24.6%	25.8%	25.9%	29.7%	
Shareholders' Equity	28.3%	22.3%	26.8%	32.2%	42.6%	

Year	Number of Branches	Number of Employees
2007	11	267
2008	14	295
2009	18	303
2010	33	453
Sep-11	41	552

Year	ATMs	POS	Retail Accounts Number ('000)
2007	6	0	27
2008	6	40	30
2009	6	52	41
2010	26	97	60
Sep-11	26	173	126



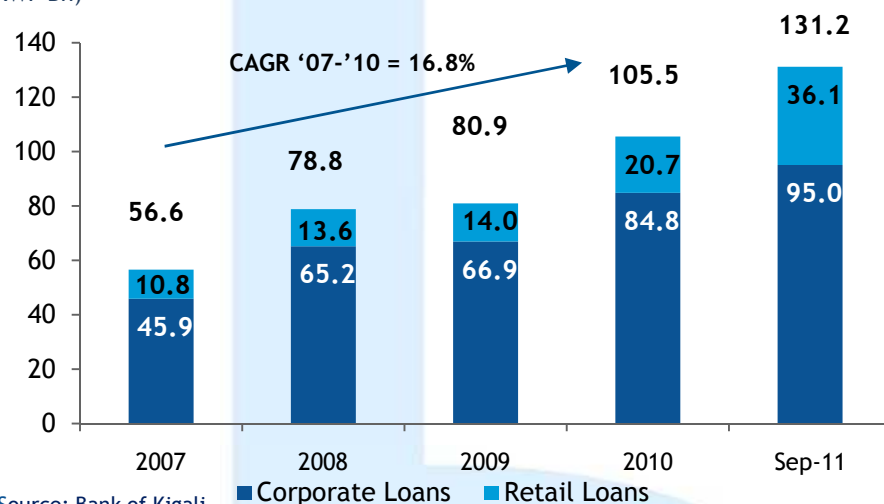


Overview of the Loan Book



Gross Loan Portfolio

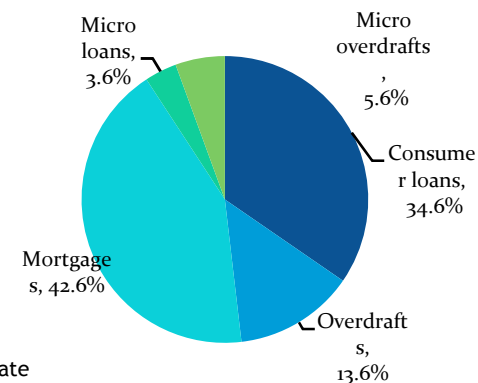
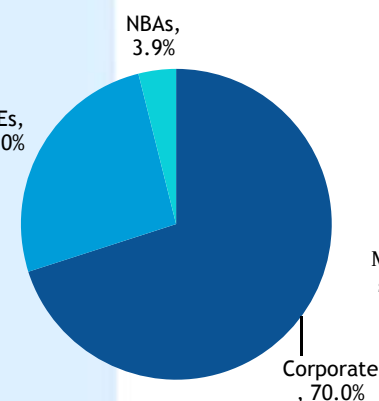
(RWF Bn)



Portfolio Composition, 30th September 2011

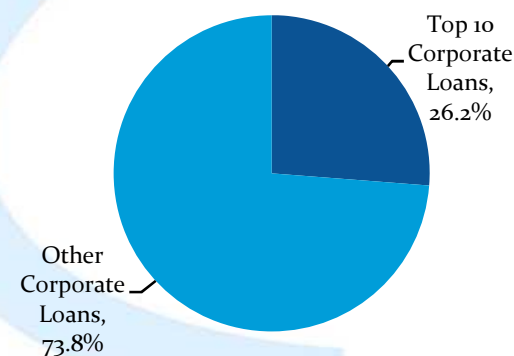
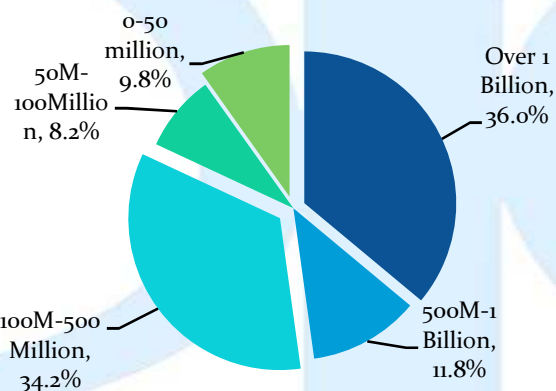
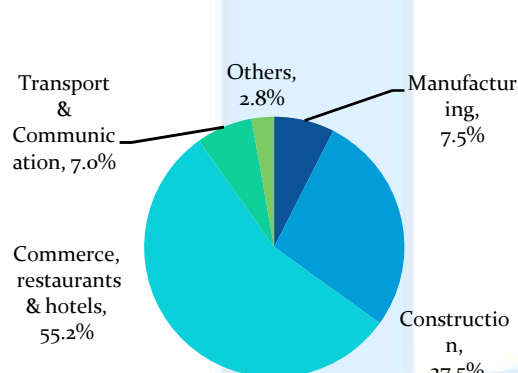
Corporate: RWF 95.0 Bn

Retail: RWF 36.1 Bn



Notes: *NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Co-operatives, etc

Corporate Loan Book, 30th September 2011



Source: Bank of Kigali

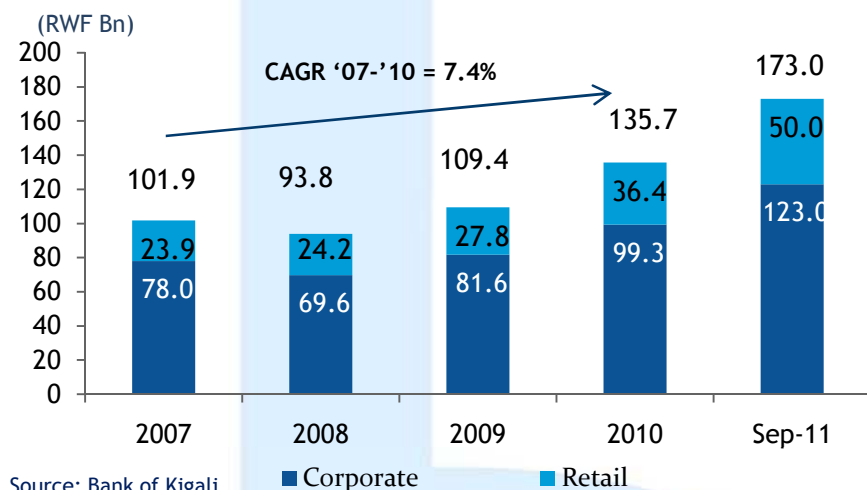
Corporate Loans: RWF 95.0 Bn



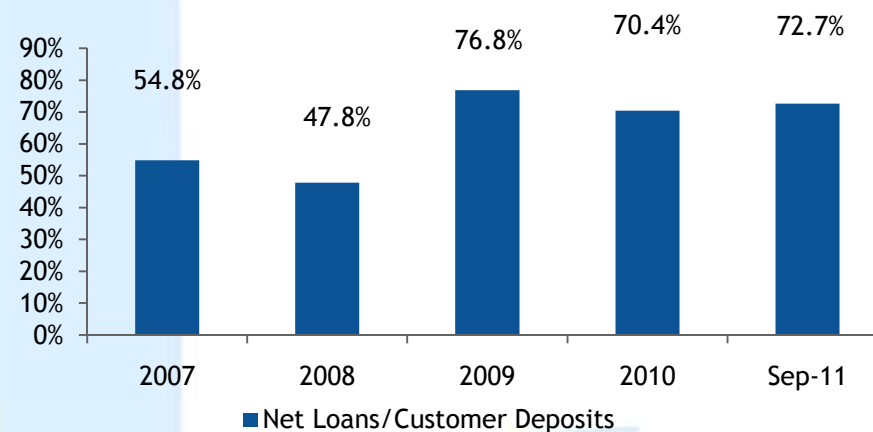
Customer Deposit Base



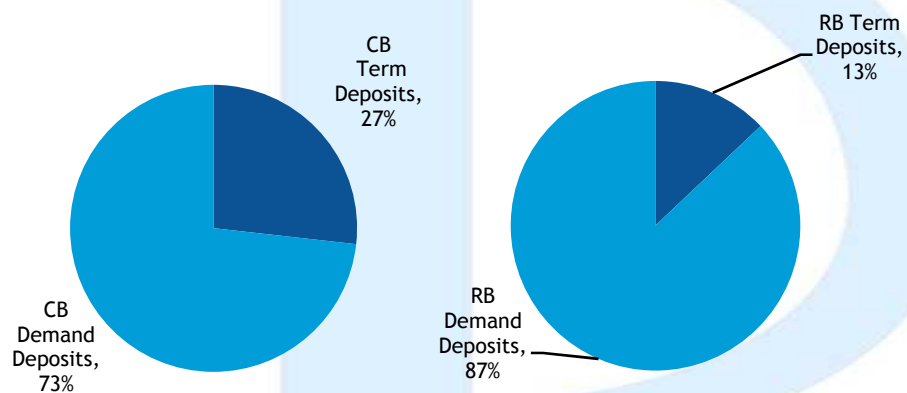
Customer Deposits Growth



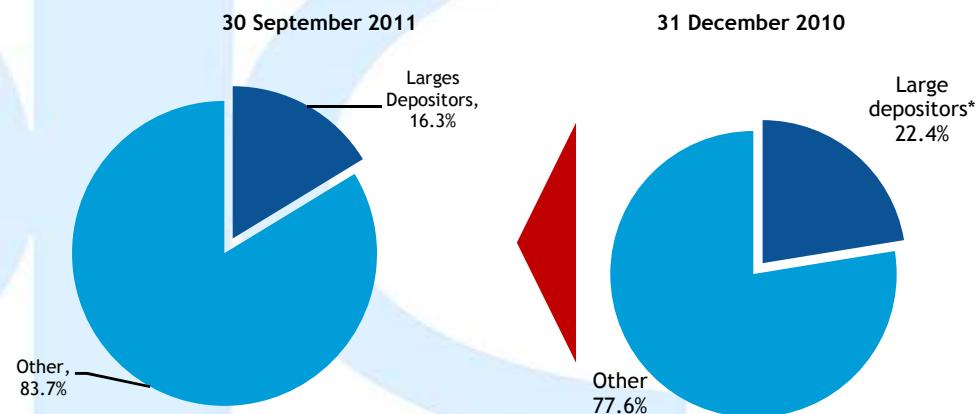
Net Loans / Customer Deposits, %



Structure of Deposits, 30th September 2011



Customer Deposits Concentration



Notes: * depositors with total balances above 5% of shareholders' equity of BoK
Source: Bank of Kigali



Corporate Banking



Description

- Clients include corporate, SMEs and NBAs*
- Interest rates were in the 15.0%-17.25% range as of September 30, 2011
- Key products:
 - CAPEX loans: long-term loans for investment or expansion of the business
 - Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years
 - Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
 - Overdrafts
- Strategy
 - Introduce new services, integrate client coverage
 - Grow and consolidate market share
 - Leverage superior lending capacity
 - Focus on payroll services

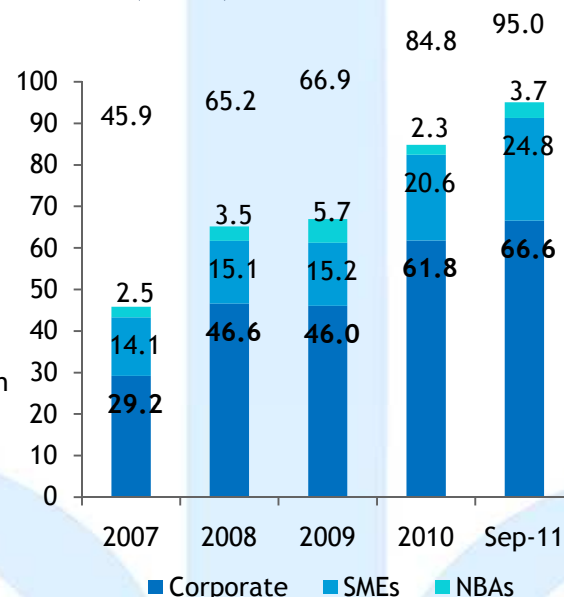
*NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc

Source: Bank of Kigali

Key Segments

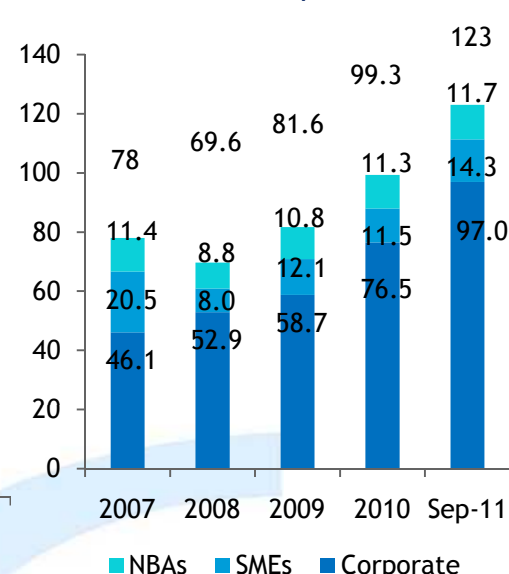
(RWF Bn)

Loans

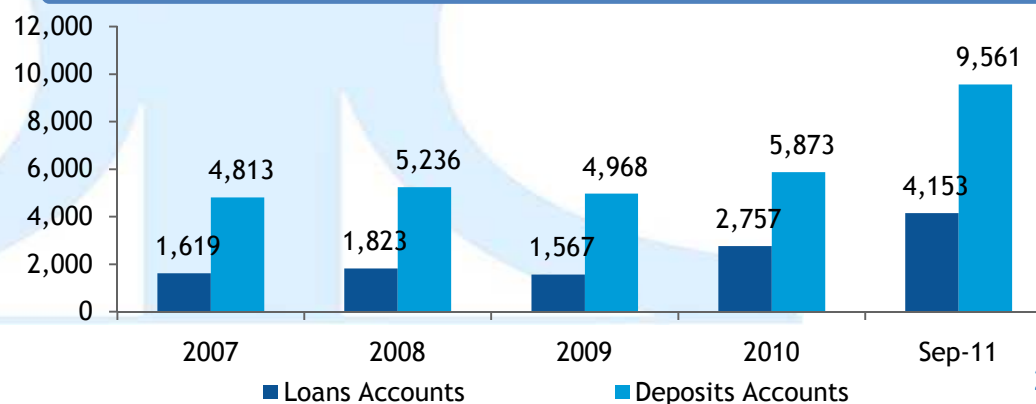


(RWF Bn)

Deposits



Number of Accounts





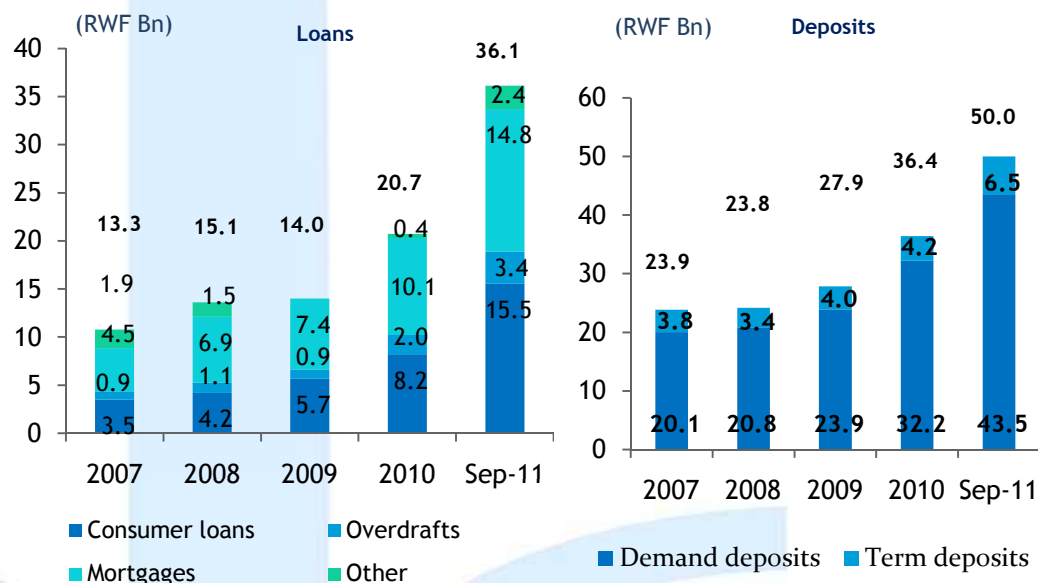
Retail Banking



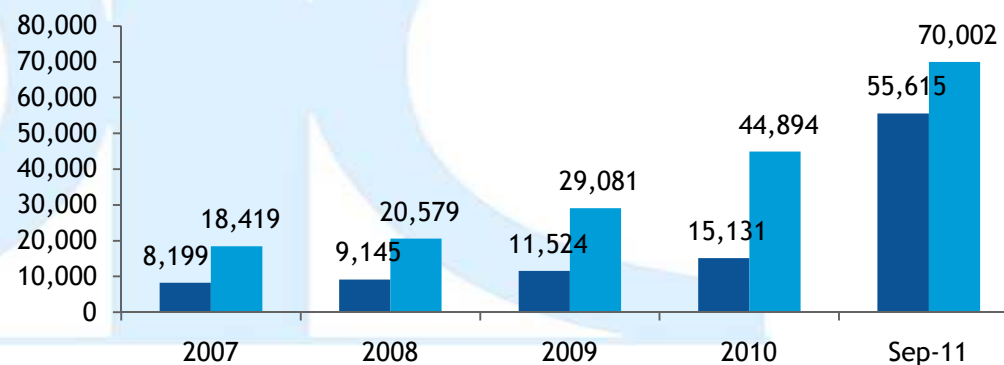
Description

- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of overdrafts
- Key products:
 - Mortgage loan: up to 10 years with typical customer participation at 30% of property value
 - Consumer loan: up to 6x monthly salary and 24 months
 - Overdraft: up to 50% of monthly salary (normally repaid in 30 days)
 - Other products include credit cards and asset leasing
- Strategy:
 - Build a ubiquitous branch footprint throughout the country
 - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
 - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
 - Expand credit card/debit card offering to other providers (MasterCard, Amex etc)

Key Segments



Number of Accounts



Source: Bank of Kigali

■ Loans ■ Deposits Accounts



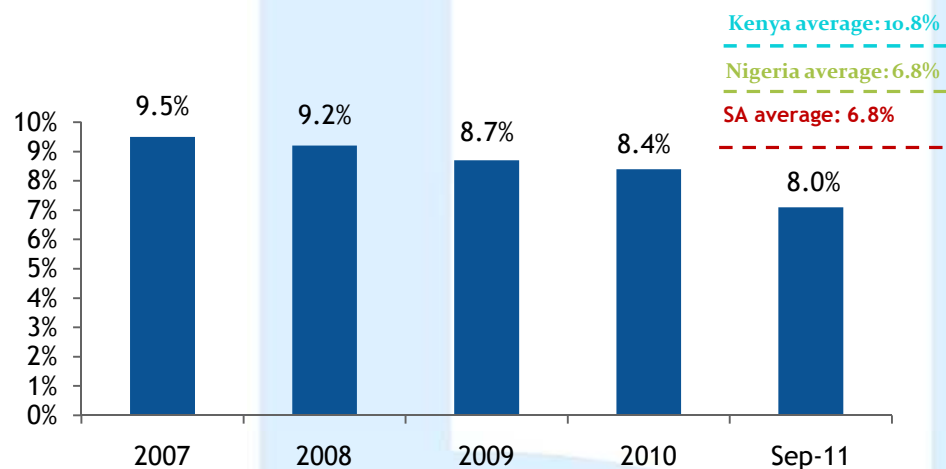
FINANCIAL OVERVIEW



Profitability

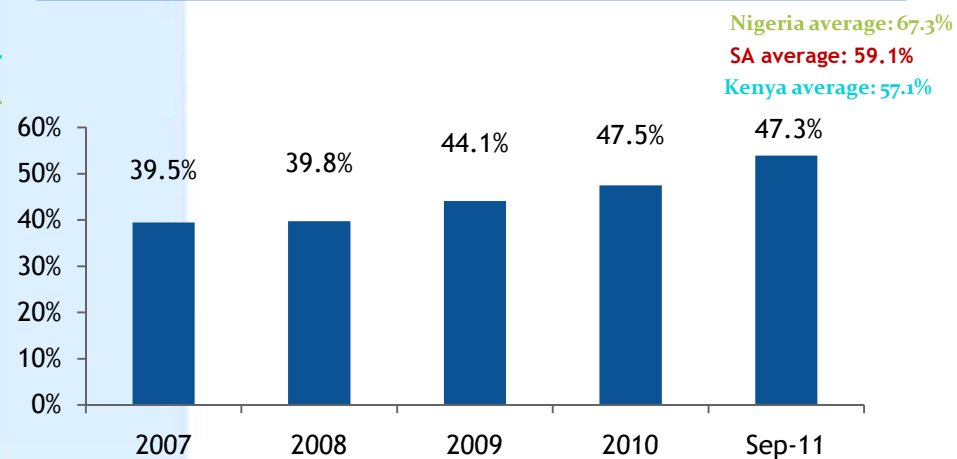


Net Interest Margin, %



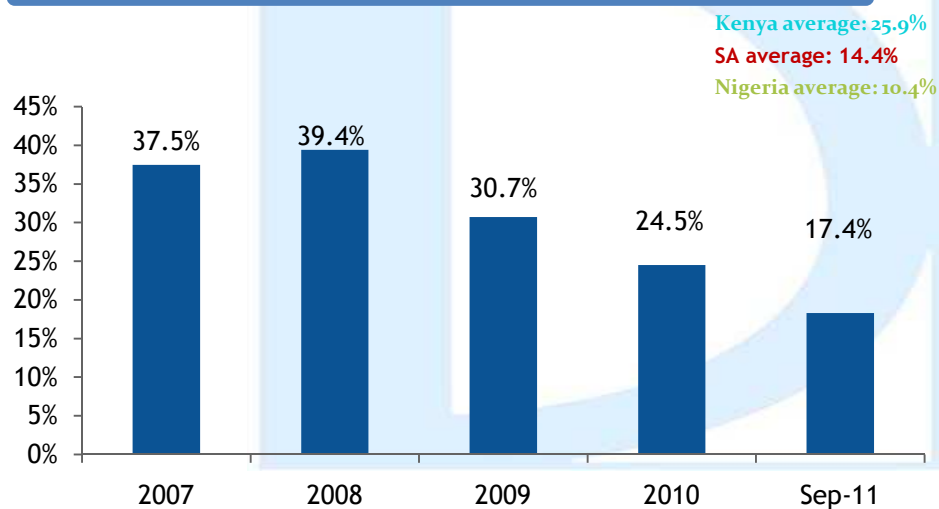
Source: Bank of Kigali Audited IFRS Statements

Cost / Income, %



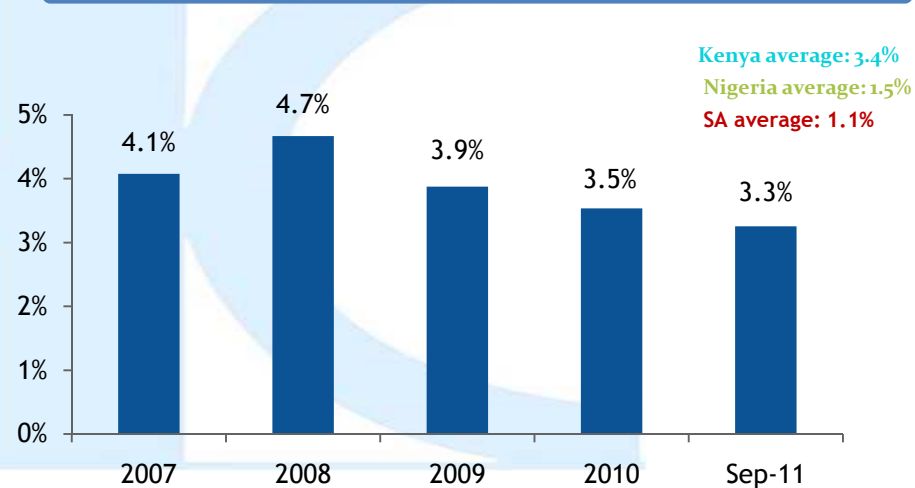
Source: Bank of Kigali Audited IFRS Statements

RoAE, %



Source: Bank of Kigali Audited IFRS Statements

RoAA, %



Source: Bank of Kigali Audited IFRS Statements

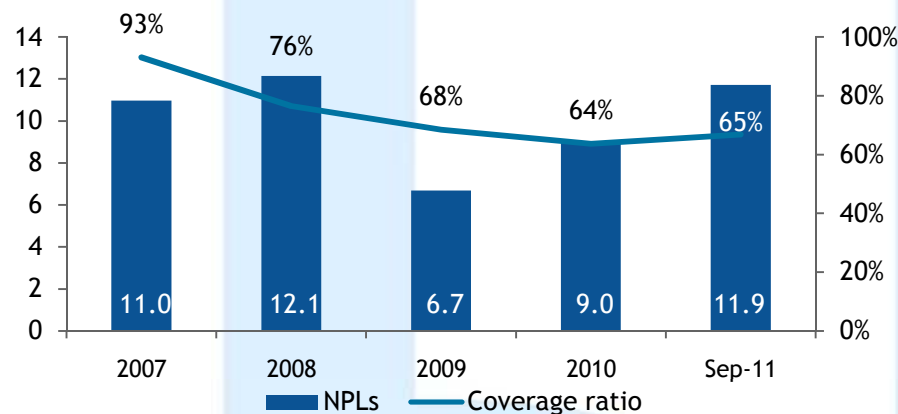


Asset Quality



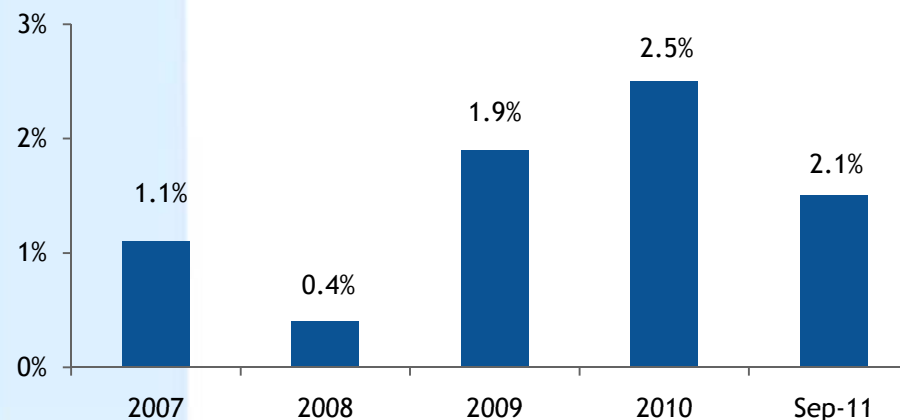
NPLs Coverage

(RWF Bn)



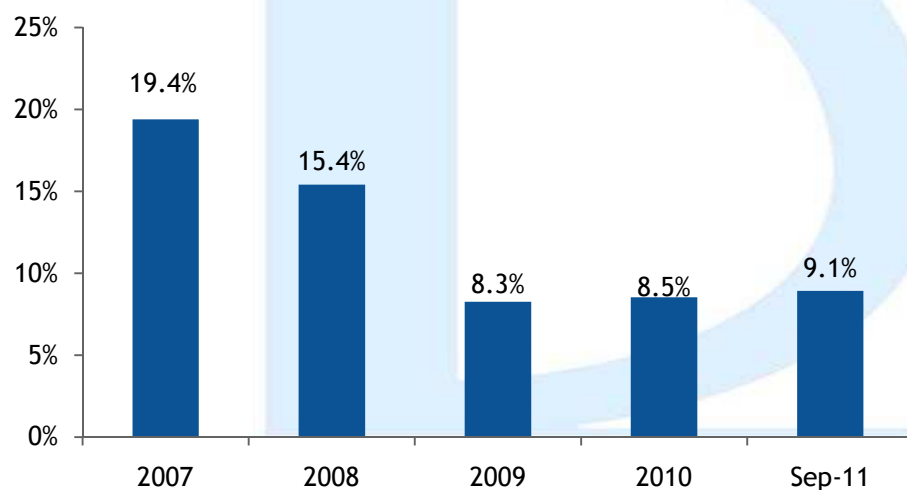
Notes: * LLPs / (NPLs - Collateral)

Cost of Risk*, %



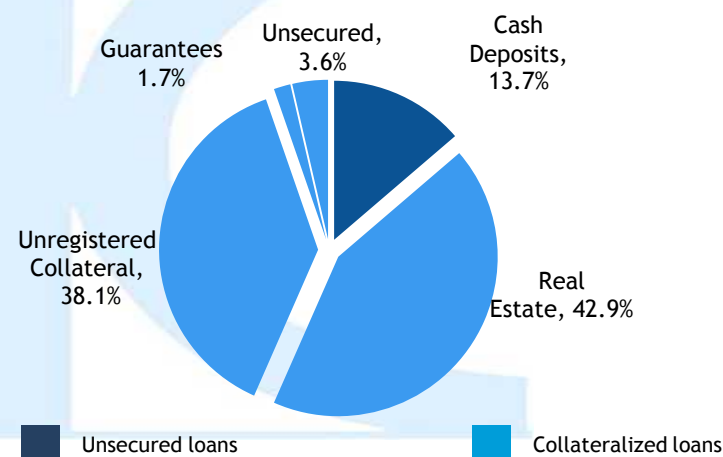
Notes: * LLP charge / Average gross loans for period

Loan Book Quality (NPLs, %)



Source: Bank of Kigali Audited IFRS Statements

Collateral Structure



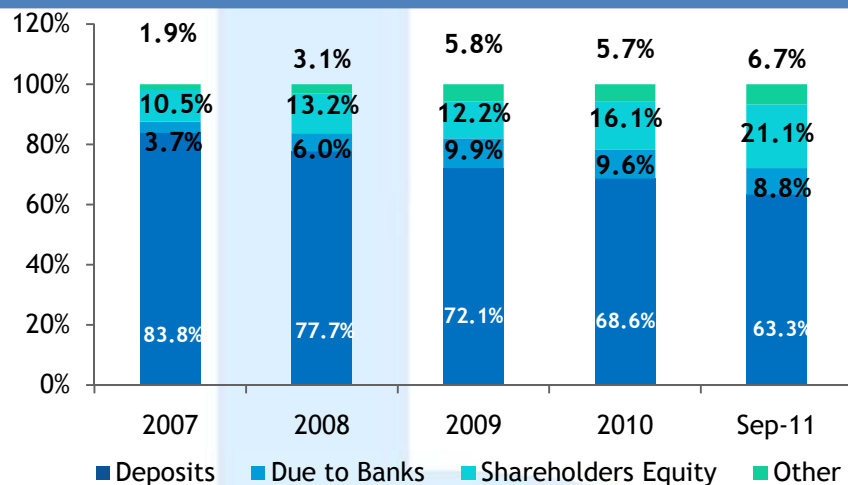
Source: Bank of Kigali Audited IFRS Statements



Funding



Funding Structure, %



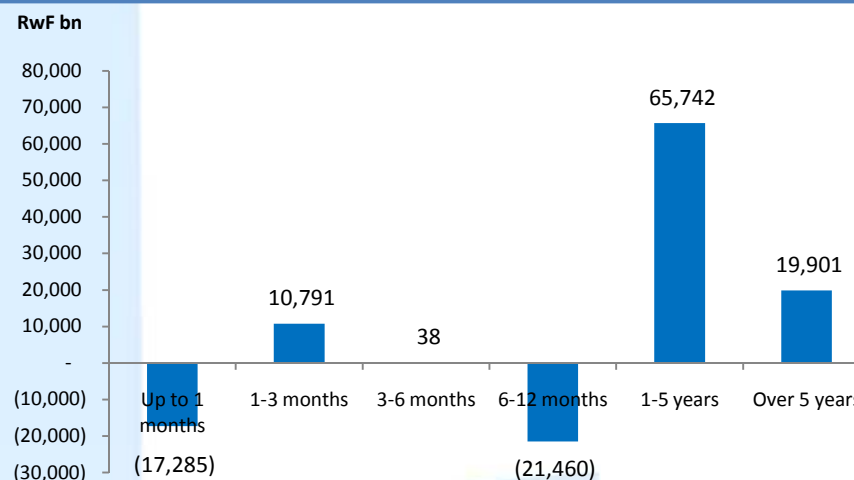
Source: Bank of Kigali Audited IFRS Statements

CAR, %



Source: Bank of Kigali Audited IFRS Statements

Maturity Gap, 30 September 2011



Source: Bank of Kigali Audited IFRS Statements

Highlights

- Deposits are the primary source of funding with share of demand deposits exceeding 60% as at September 2011.
- The Bank has also signed two long-term credit lines with the European Investment Bank and the French Development Agency worth € 5 million for 7 years and \$20 million for 10 years respectively.
- In 2011, a third credit line was signed with the African Development Bank worth \$12 million for 10 years.



STRATEGY



Outlook

Strategic Objectives



Objectives	Actions	Outcome / Impact
Build a ubiquitous branch footprint throughout the country	Expand the branch network to 60+ branches by YE 2013	- Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit - Reach out to the unbanked (but bankable) population
Build sufficient channel capacity	- By YE 2013, increase the number of ATMs from 26 to 115+ - By YE 2013, increase the number of POS terminals at qualified merchants from 100 to 1,000+ - Build a modern and scalable mobile banking (SMS, USSD) and Internet banking platforms 200,000+ VISA cards outstanding by YE 2013 - Up to 100,000 ZIPP prepaid cards distributed by YE 2013 - Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)	- Become the bank of choice and convenience for the middle class and youth entering the employment sector - Create capacity to service 500,000+ clients
Expand retail product offering	- Flexible, offset, variable-rate, etc mortgages - Full range of consumer loan products - Revolving credit cards - Payroll & pension-backed loans & overdrafts - Microfinance - Modern, multi-currency current accounts with debit cards - Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere - Payment & e-wallet solutions - Full range of deposit products	- Further diversification of revenue streams and funding base - Expand the share of higher-margin lending - Maximize the cross-sell opportunities - Grow the share of retail in the loan book to up to 30%-40% in the medium term
Consolidate the leading position in corporate banking	- Integrated client coverage - Leverage the superior lending capacity - Cross-selling opportunities - Documentary opps & trade finance, FX, other solutions - Rep offices in EAC over time	"Grow with clients" - Valuable source of retail clients through payroll programs - Growth of loan book and F&C income
Create a universal banking platform	Private Banking, Securities, Insurance	Maximize the product-to-client ratio
Increase the maturing profile of liabilities	Leverage the superior access to wholesale funding to complement the deposit funding base	- Reduce maturity gap - Enable further expansion of long-term lending
Maintain profitable growth	- Continuous improvement of risk management policies & procedures - Disciplined capital management, medium term target CAR of 15%-17% and ROE of 20%+, implying ROA in the 3.5% range	- No profitability sacrifices for the sake of market share gains - Sensible dividend policy as the growth curve flattens out over time



Outlook

Key Investment Highlights



Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 10 million with 84% below the age of 40
- Robust economic growth of 4.1%-11.2% between 2006-2010 and 8.8% expected for 2011
- Moderate inflation: declined from 15.4% in 2008 to 2.3% in 2010
- Very friendly business environment, recognized as the 2nd most reformer globally 2005-2011 in World Bank Doing Business Report

Significant Banking Sector Potential

- Significant headroom for growth given low banking penetration
 - Total assets/GDP of 22%
- Large unbanked population of approximately 90%
- Well regulated banking sector: fairly conservative regulator relative to regulators in the East Africa region

Market Leadership

- Market leadership by
 - Total assets (RWF 273,802 million as of 30 Sept 2011) - 33.4% market share
 - Net Loans (RWF 125,308 million as of 30 Sept 2011) - 32.7% market share
 - Deposits (RWF 172,967 million as of 30 Sept 2011) - 29.7% market share
 - Shareholders' equity (RWF 57,554 million as of 30 Sept 2011) - 42.6% market share

Conservative Business Model

- Relatively high capital adequacy ratios ranging from 14.0% - 27% between 2007 and September 2011
- Manageable level of non-performing loans - 9.1% of gross loans in September 2011, down from 19.4% in 2007
- Loans to deposit ratio range of 54.8% - 72.7% between 2007 and September 2011.

Experienced Management Team

- Management team with combined banking sector experience of 79 years
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results: ROAE ranging between 25% to 40% for the period 2006 - 2010

Profitable Growth

- Robust asset growth at a CAGR of 26.6% to RWF 273,802 million (2007-2011)
- ROAA ranging from 3.0% - 4.1% between 2006 and September 2011



Contact Information

For information please contact:

Lado Gurgenidze
Chairman of the Board
Email: lgurgenidze@bk.rw
Mobile: +995 599 477 272

James Gatera
Managing Director
Email: jgatera@bk.rw
Mobile: +250 78 814 3000

Lawson Naibo
Chief Operating Officer
Email: lnaibo@bk.rw
Mobile: +250 78 830 2076

Frances Ihogoza
Head of Corporate Affairs/Company
Secretary
Email: fihogoza@bk.rw
Mobile: +250 78 830 43 88

Website: www.bk.rw
Telephone number: +250 252 593100
Address: Plot 6112, Avenue de la Paix, Kigali Rwanda